



Starting up

Getting started

Work with a partner. Look at the information and discuss the following questions.

Businesses always have a number of costs when they start up. Some of the most obvious include:

- premises costs
- legal costs (e.g. for a partnership agreement)
- utilities (e.g. electricity bills)
- insurance
- staff costs
- advertising and stock

- 1 How can you keep each of these initial expenses low?
- 2 What are some possible ways of getting the money to start up a new business?
- 3 Which do you think are the most common ways to fund a new business in your country?

Compare your answers with another pair.

Business support

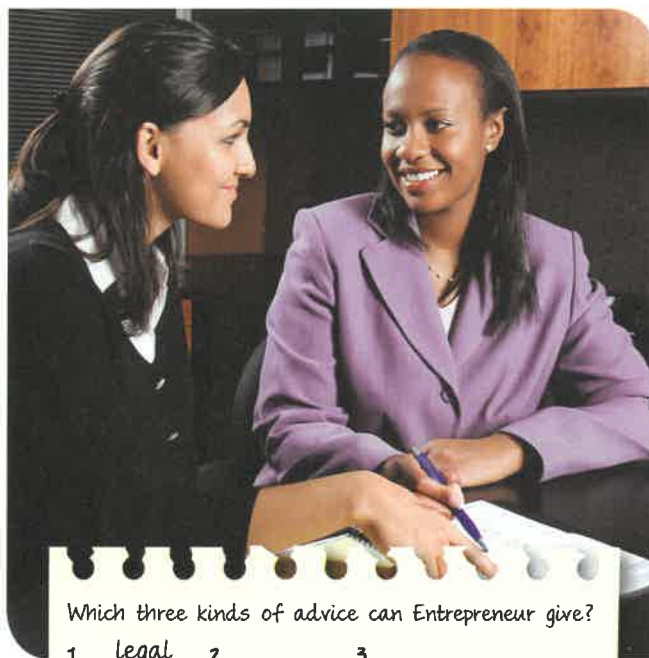
Listening

- 1 Complete the definitions (1–5) with the words and phrases from the box.

- 1 If you obtain the money which you need to start your business, then you raise capital for it.
- 2 If someone gives you the money for your business, they or
- 3 When someone lends you money, sometimes you have to promise to give them something, like your house, if you do not pay the money back. When you do this, you
- 4 Something of value that you or your business owns is a/an
- 5 The movement of money coming into and going out of a business is known as

asset cashflow provide funding/capital
raise capital secure a loan

- 2 ① 37 Listen to an interview with Tara Ganesh, the marketing director of a business support service called *Entrepreneur*. How many ways to get money for a new business does she mention?
- 3 ① 37 Listen to the interview again and complete the notes.



Which three kinds of advice can Entrepreneur give?

1 legal 2 3

Most common way to fund a new business:

4

Bank managers want to see a 5

The bank will look for realistic targets, steady growth and a strong 6

Types of assets to guarantee bank loans:

7, 8

A company which provides start-up money is a called a 9 firm.

A business angel is a 10

You can find business angels through

11

Teenage entrepreneurs

Reading

- 1 Work in pairs. Each of you is going to read an article about a teenage entrepreneur who set up his own business. One student reads Text A, and the other Text B on page 120. First skim your text, and then look at questions (1–5) below and make notes on the answers.

- 1 What difficulties did the entrepreneur face when he was a child?
- 2 What projects or activities was he involved in before he set up the business?
- 3 When did he get the idea for the business?
- 4 How did he raise the money to start up?
- 5 How has the business grown?

TEXT A

Skydrop Enterprises

Joel Mwale was born in Kenya. His father died when he was seven and his family moved into a house with no electricity or running water. The water that people used in his village was often polluted and many people caught diseases from it. In 2007, Joel became ill from drinking polluted water and was taken to hospital. From his hospital bed, he decided to create a new borehole* which could provide the people in the village with clean water. He took the money that he was planning to use for his high school fees and set up the borehole on some nearby farmland. Over one hundred people came to collect water from it each day and the rates of infection from polluted water in the village dropped dramatically.



But now Joel had no money to pay his school fees. He needed to raise money, and so he started to think about using the rain as a source of drinking water he could sell.

This was the beginning of Joel's business, Skydrop Enterprises. He borrowed \$5,000 from a rich farmer who lived nearby and bought a water purifier which could be used for rainwater.

The rainwater was then bottled and sold as drinking water. Joel admits he got the idea from other companies, like Coca-Cola, who have done something similar.

Skydrop Enterprises now sells thousands of bottles of water each month and the profits have allowed him to pay school fees for himself and for his brothers, as well as feed his family. He employs five full time workers at his production plant and the bottled water is sold as far away as Uganda.

*borehole: a deep hole made in order to get water out of the ground

- 2 Work in pairs. Take it in turns to tell each other in your own words about the entrepreneur you read about, using questions (1–5) to help you.

Grammar workshop

Which/who/that/where clauses

- 1 Study the information and answer the questions (1–5).

which/who/that/where clauses

The words in *italics* are relative pronouns. They are used in place of *he*, *she*, *it* or *they* to join two sentences together.

Subject relative clauses

He was invited to attend the **Chocolate Experience show**.

It was held in Mexico.

He was invited to attend the Chocolate Experience show **which/that** was held in Mexico.

He borrowed \$5,000 from **a rich farmer**. **He** lived nearby.

He borrowed \$5,000 from a rich farmer **who/that** lived nearby.

Object relative clauses

The water was often impure. People used **it** in his village.

The water (**which/that**) people used in his village was often impure.

He sent some samples to a **chocolate buyer**. *He* thought **he** would be interested.

He sent some samples to a chocolate buyer (**who/that**) *he* thought might be interested.

Relative clauses with where

He moved the chocolate-making operation into **his parents' garage**. There was more space **there**.

He moved the chocolate-making operation into his parents' garage **where** there was more space.

- 1 Which relative pronoun is used only for things?
..... **which**
- 2 Which relative pronoun is used only for people?
.....
- 3 Which relative pronoun is used only for places?
.....
- 4 When is it possible to leave out the relative pronoun?
- 5 Find another example of subject and object relative clauses in the two texts.

- 2 The following letter was written to the owner of a cake shop which specialises in southern European products. Read the letter, and then rewrite the pairs of sentences in *italics* (1–5), joining them with a relative pronoun. Do not use *that*.

Dear Ms Tanzi,

1 *We are a new company. It specialises in the production of Greek pastries.* We are writing to ask if you would be interested in stocking our products.
 2 *We were given your name by Ms Tina Furlan. We believe she is one of your regular customers.* She would be happy to recommend our products. 3 *We enclose a complete product list and three pastries.* We hope you will enjoy them.

Our products are all based on authentic Greek recipes. 4 *They are made from high quality ingredients. We import the ingredients from Greece.*
 5 *We began selling our products six months ago at a local market. There, they proved to be very popular.*

We would very much like to meet you to discuss our proposal further. We can be contacted on the above number or by email.

We look forward to hearing from you.

Yours sincerely,

Kostas and Alex Niarchos

- 1 *We are a new company which specialises in the production of Greek pastries.*
 2
 3
 4
 5

- 3  Business English students sometimes forget to put relative pronouns in a sentence. In the following sentences, insert the missing relative pronoun in the correct place. TWO of the sentences are already correct *without* the addition of a relative pronoun.

which

- 1 We own a building to rent ^ is in a very convenient location.
 2 This figure is a reduction in the amount was spent last year.
 3 I would like to demonstrate a new product we have launched.

- 4 The training is for members of staff work in the customer services department.
 5 I am writing to complain about the service I received.
 6 There was a short delay occurred because of a computer failure.

 page 98 *which, what and that*

Writing

Look back at the letter in Exercise 2. You are Ms Tanzi. Write a letter of reply to Kostas and Alex. In your letter:

- thank them for their letter
- suggest a time to meet
- say why you are interested
- enquire about discounts

Use the phrases in the box below to help you start your sentences. Write 60–80 words.

We would be very interested in ...	We would be very happy to discuss ...
Would you be free ...	I would like to suggest ...
I would also like to enquire ...	I also wonder if you could offer ...

Funding

Reading

Company background

Kalido is a company which provides software for data management. It has offices in the USA, the UK and India. Its clients include Shell and Unilever.

- 1 Work in pairs. Read the first paragraph of the text and discuss the question below.

KALIDO

- 1 Many entrepreneurs find unusual ways to finance their business if they cannot get help from traditional sources. However, the initial funding of the software company, Kalido, must definitely be one of the most unusual. Andy Hayler, the founder, got his employer to provide the capital for him.

Why do you think an employer might do this?

- 2 Skim the rest of the article to find the paragraph that gives the reason.

- 4 Skim the article again to see if it contains any useful collocations and record them in your notebook.

Time and money

Vocabulary

- 1 Many of the words we use to talk about money are also used to talk about time. Complete the gaps (1–4) in the following text with a money word from the box.

invest save spend waste

Having a great idea is not enough to start up a new business. You need to 1 spend a great deal of time on market research and deciding who your customers will be. Doing this properly will 2 both time and money later. The most important thing is often belief. You need to believe in your product enough to be prepared to 3 time, effort and, yes, your own money in making it work. And if the idea is not a success? Don't feel you have to 4 time and money on something of no benefit. You may be able to go back to your original idea later and change it or use parts of it for something else.

- 2 Look back at the text and underline the prepositions used after the following verbs.

1 spend 2 waste 3 invest

- 3 Verbs which usually describe water are also often used to talk about money or markets. *Cashflow* is an example of this. Look at paragraphs 3 and 4 of the text and underline two more water verbs.

- 4 Complete the following sentences (1–4) with a water verb from the box. Change the tense of the verb if necessary.

dry up flood pump/pour tap into

- The company has poured/pumped a lot of money into their South American venture.
- The market has been with products imported from the USA.
- The advertising campaign was designed to the new interest in healthy eating.
- In the past there was government money available but this source of funding has now.

2 Kalido is the leading provider of data warehouse software that allows organisations to understand their business performance better. Unlike traditional software packages, Kalido systems are able to create reports on business information even if it comes in different formats. They also allow data analysis to continue during periods of organisational change such as relocation or mergers.

3 Andy Hayler worked for Shell, the petroleum giant, in the UK. While he was there, he spotted the need for a new data management package. Shell also realised that they needed a system that could monitor the vast amounts of data from their many different businesses, and so they agreed to act as venture capitalists and invest in his idea. For two years, they pumped money into Hayler's new software venture within Shell.

4 Hayler had to identify a market to tap into and produce a detailed business plan, just as if he was obtaining funding from anywhere else. The main difference was in the amount of funding that Shell provided. The first funding to launch the company was an astonishing \$11 million.

5 As a result, Kalido expanded very quickly indeed compared with most new ventures. Just a year later, Kalido opened its first sales office in the USA. Then two years after starting up, it broke its ties with Shell. Kalido's software is now used by many large organisations including Unilever, Philips and Proctor and Gamble.

6 'Kalido was something of an unusual case in getting its initial funding from a large corporation,' Hayler admits. 'However, what we did was concentrate on a real customer problem and develop software directly to meet that need. Other companies starting up could do the same thing.'

- 3 Look at the article again and match the paragraphs (2–6) with the most suitable heading (a–f). There is one heading you do not need.

- | | | |
|-------------|---|---------------------------------|
| Paragraph 2 | a | How the idea began |
| Paragraph 3 | b | It could happen again |
| Paragraph 4 | c | Who are Kalido? |
| Paragraph 5 | d | The road to independence |
| Paragraph 6 | e | New financial regulations |
| | f | Presenting the case for funding |